these loans and the control and management of these assets by Chinese entities sparked concerns in New Delhi. A tipping point was the appearance of a Chinese submarine in Colombo Port in 2014. Relations with India stabilized somewhat following a change in government the next year, although the levels of accumulated external debt proved hard for Colombo to manage. [17] The leasing of Hambantota Port to a Chinese entity for commercial use did little to ameliorate Indian worries. Although India continued to provide economic aid to Sri Lanka—including for housing and railways—concerns about Chinese lending, infrastructure projects, and political influence translating into a security presence persisted.

India's relations with the Maldives proved equally volatile, with the consolidation of power by Abdulla Yameen and financial backing from China resulting in the imposition of an emergency in 2018. Eventually, elections and a peaceful transition of power led to in the reestablishment of cooperative relations between New Delhi and Male. But lingering anti-India sentiment was to translate into a growing 'India Out' movement in the years ahead.

Until only a few years earlier, New Delhi had believed that China's growing profile in the smaller South Asian countries was not necessarily detrimental to Indian interests. In practice, Beijing's relations with each country were different. With Sri Lanka and the Maldives, China's approach had been primarily economic, involving infrastructure lending, investment, and tourism, although it was no coincidence that these countries occupied important strategic locations in the Indian Ocean. With Bangladesh, China's PLA had an older relationship with the military dating to the 1970s and 1980s, when Dhaka had turned to Beijing for military equipment. With Nepal, economic and military relations were initially weaker, but China had stronger party-to-party relations with political stakeholders in Nepal's new republic. Yet India began to find that these ties were being leveraged by Beijing to promote anti-Indian propaganda, political influence, and security advantages.

Addressing these developments required a new approach. This included improving the diplomatic priority afforded India's neighbours, including